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DiClemente's Download: Digging into the Deck

Our thoughts on key themes from Mary Meeker's 2018 State of the Internet presentation

This past week, Internet considerably outperformed the broader market as all our covered stocks ended the week in the green. As such, the PNQI was up 2.7%, 220bps above the S&P500, with FB, GOOGL, and AMZN the big winners, up 4.9%, 4.7%, and 1.9% respectively. This week also saw the release of Mary Meeker's annual state of the Internet report, an oft-watched (not to mention impressively long) slide presentation covering many of the themes and topics we regularly dive into in our own research. **In this report, we wanted to comment on four ideas Ms. Meeker laid out in her presentation, which we believe are particularly important to our stock coverage:**

1) A tale of two cohorts: the long runway for further mobile media consumption. As has been the case for the better part of the last decade, Ms. Meeker highlights the continued growth of mobile media consumption, which has increased 100% since 2012. Of course, this trend is foundational to the success of platforms like Facebook, Twitter, and YouTube. **As such, we believe it is important to reiterate that while it may seem like the transition to mobile could be nearing a steady state, in terms of average minutes per day, mobile consumption is likely to maintain an aggressive long-term growth profile.** Simple averages belie two very different behavior sets. Specifically, those under 25 spend nearly 3x more time on their phones than those 40 and over, meaning that simple demographics are a powerful catalyst to further growth.

2) The growth of e-commerce and ad market transformation. Ms. Meeker dedicates several slides of this year's presentation to the implications of **accelerating trends in e-commerce, which now stands at 13% of total US retail sales**, by her estimates. We continue to argue that **this transition is having a transformative effect on the ad market, and is structurally increasing the TAM for digital ad platforms.** By this, we reiterate that **retail e-commerce generates 2x the ad spend as a percentage of sales as physical retail**, as the savings associated with not operating a physical store are reinvested in direct marketing. We see clear evidence of this dynamic in long-term analysis of US digital ad spend as a percentage of e-commerce sales, which has held remarkably steady for 10+ years in the mid-to-high-teens. As a result, **we contend that to the extent e-commerce maintains an aggressive growth profile, the TAM for the ad platforms, including FB, GOOGL, and AMZN, continues to grow commensurately.**

3) Convergence, not cannibalization. Related to the structural benefits of e-commerce growth to the digital ad market, Ms. Meeker highlights the convergent, but in our view, complementary nature of ad formats across FB, GOOGL, and AMZN, citing the increasing importance of FB's product discovery, particularly for emergent direct-to-consumer-brands. On a distinct but related point, the **convergence of GOOGL and AMZN's ad products is highlighted.** While superficially this would seem to mean increasing direct competition, we note that **much of the ad spend on AMZN is being sourced from in-store marketing and product promotion budgets, which have historically lied outside the traditional definition of ad spend**, leading us to the view, that **for GOOGL and AMZN competition does not mean market cannibalization.**

4) Flywheeling in the Cloud. While the cost benefits associated with scale in cloud services are well understood, Ms. Meeker pointed to the inherent network effects that could generate an attractive competitive moat for the market leaders. In particular, increased data volume results in improved data analytics, that in turn inform product enhancements and innovation, which naturally attracts more customers (and therefore more data). With AWS growing its product suite from just 1 service in 2006 to over 140 today, we believe the scale advantages are increasingly manifesting themselves in reported results. Market share concentration is increasing, and **despite despite being the largest cloud service provider (roughly 3x the size of Azure), Amazon's AWS accelerated YoY revenue growth in the most recent quarter, while its competitors realized modest deceleration.**

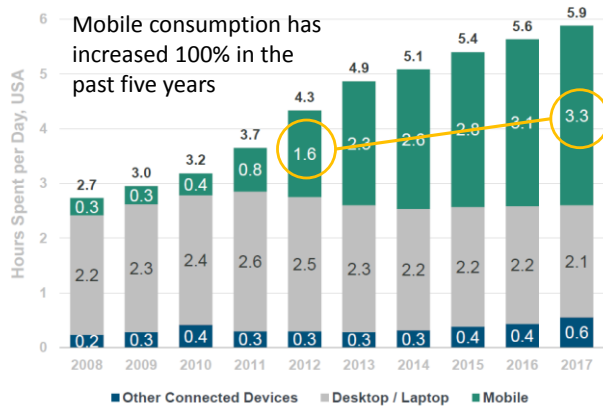
Mobile adoption: a decade in but a long way to go

A decade into the shift to mobile, Mary Meeker continues to place mobile consumption growth near the front of her State of the Internet report, highlighting this trend's foundational importance to the overall internet media ecosystem. With time spent on mobile increasing 10x in the US over the last 10 years and 100% over the past five, it might seem that growth could be maturing and perhaps be approaching a relatively steady state.

However, **we contend mobile consumption maintains a long, likely multi-decade long, growth runway.** By digging into the underlying demographic trends, we note a stark divergence between age cohorts in mobile usage. This dynamic supports a view **that by way of simple population mix shift, average mobile consumption patterns should trend toward that of younger audiences.** With users under 25 spending 80% more time on mobile than those over 45, it stands to reason that we remain a long way off from maturation in mobile media consumption.

Figure 1. While mobile consumption has demonstrated a decade of explosive growth...

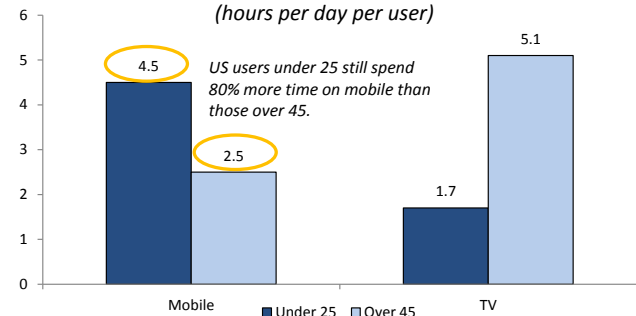
Daily Hours Spent with Digital Media per Adult User



Source: Kleiner Perkins, Evercore ISI Research

Figure 2. ... Divergent demographic trends suggest a long runway of further expansion

2017 US Media Consumption by Age and Format
(hours per day per user)

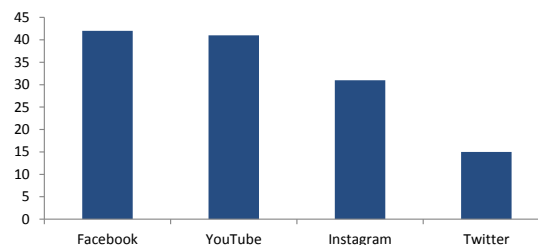


Source: eMarketer, Evercore ISI Research

Further growth in mobile time spent has critical implications for time-sensitive ad formats, including social and mobile video, supporting our long-term bullish outlook for the likes of Facebook/Instagram and YouTube.

Figure 3. The long-term benefits of population shift to mobile consumption underlie our view of major digital ad platforms

Minutes spent per day by platform
(1Q18; EVRISI est.)

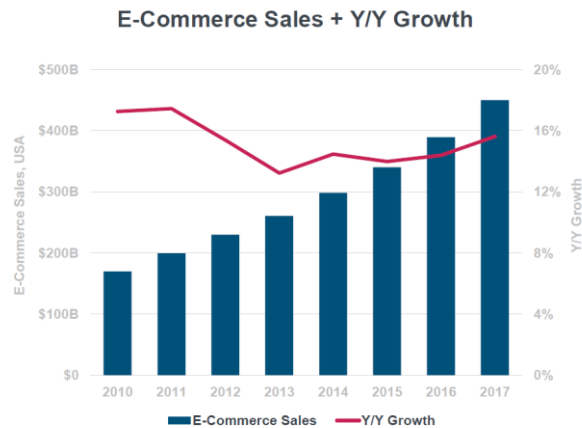


Source: Company data, Evercore ISI Research

Accelerating ad market transformation: the structural benefits of retail's shift to e-commerce

Ms. Meeker dedicates a significant portion of her 2018 State of the Internet presentation discussing acceleration in the growth of US e-commerce spend, a topic we too have dealt with in depth across a number of reports.

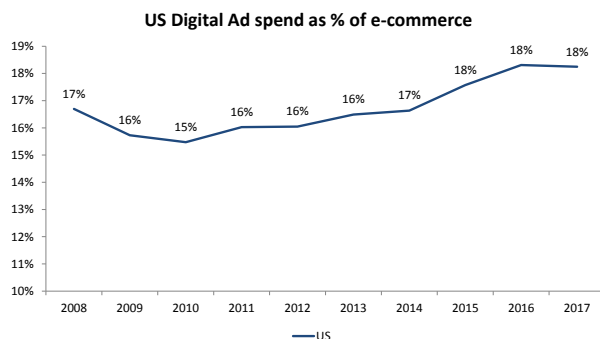
Figure 4. E-commerce acceleration is a major theme with wide ranging implications, not just for retailers but also the digital ad market



Source: Kleiner Perkins, Evercore ISI Research

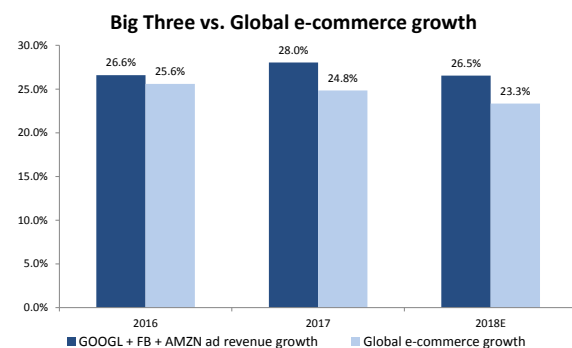
While the benefits of accelerating e-commerce to online retailers is straightforward, the positive implications to major online ad platforms are more subtle but perhaps no less important. We note that e-commerce retail is ~2x more advertising intensive than physical store sales, that is, ad spend as a percentage of sales is twice as high. As such, **the transition to e-commerce provides structural expansion to the ad market and more specifically the digital ad market.** In our view, this expansion comes as a result of the savings related to e-commerce stores vs their physical counterparts (rent, floor sales people, utilities, etc.) being reinvested into marketing, as we see no reason online merchants would demand structurally higher margins relative to those operating brick-and-mortar stores. We see clear evidence of this dynamic in a long-term analysis of US digital ad spend as a percentage of e-commerce sales which has held remarkably steady for 10+ years in the mid-to-high-teens.

Figure 5. We note a tight relationship between e-commerce and digital ad spend in the US...



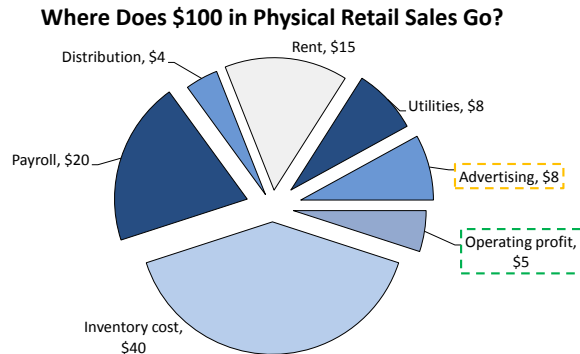
Source: Company data, Evercore ISI Research

Figure 6. ... and globally, with FB, GOOGL, and AMZN proving the largest beneficiaries ex-China



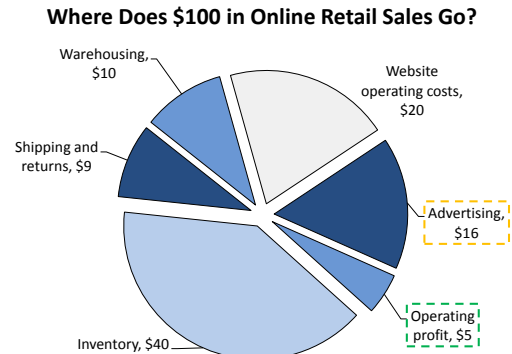
Source: Company data, Evercore ISI Research

Figure 7. The shift from physical to online retail is foundational to our bullish outlook for online ad platforms...



Source: Company data, Evercore ISI Research

Figure 8. ... as e-commerce retail generates 2x the ad spend of brick-and-mortar, as certain cost savings are reinvested in advertising



Source: Company data, Evercore ISI Research

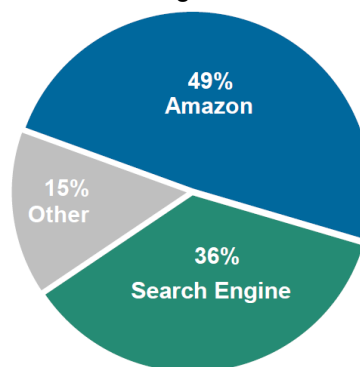
A recurring source of concern among investors in FB and GOOGL that we speak to is that the ad market is not large enough to support expectations of their long-term growth. **We contend that so long as e-commerce growth trends remain robust the ad market will expand in a commensurate fashion**, proving concerns that the ad market can't support longer term growth for FB and GOOGL unfounded.

Key discovery: it's convergence, not cannibalization

Ms. Meeker pointed to the growing convergence of scaled internet platform use cases, whereby Google's ad-based platform is increasingly becoming a commerce platform, and Amazon, vice versa. With 85% of all product searches originating on Amazon/Google it is difficult to overstate the value these platforms bring to marketers.

While superficially this appears to imply increasing direct competition, **we note that much of the ad spend on AMZN is being sourced from in-store marketing and product promotion budgets, which have historically lied outside the traditional definition of ad spend.** Looking one level deeper, we contend that as e-commerce continues to displace brick and mortar retail, marketing budgets (both traditional and in-store promotions) will also migrate online, GROWING the size of the digital ad market, leading us to the view, **that competition across GOOGL and AMZN does not mean market cannibalization.**

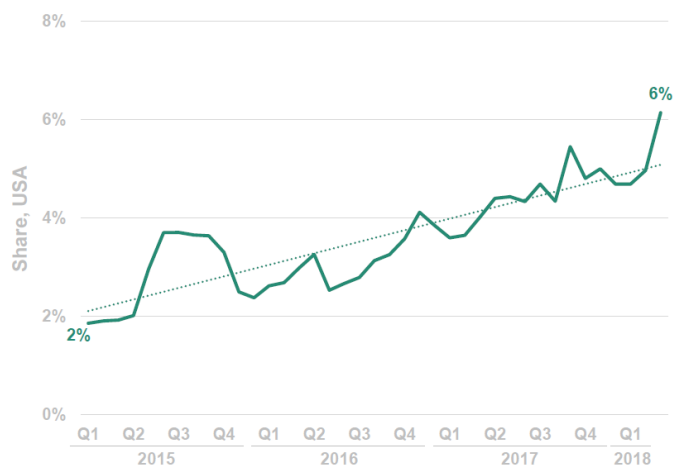
Figure 9. Where do product searches begin?



Source: Kleiner Perkins, Suvata, Evercore ISI Research

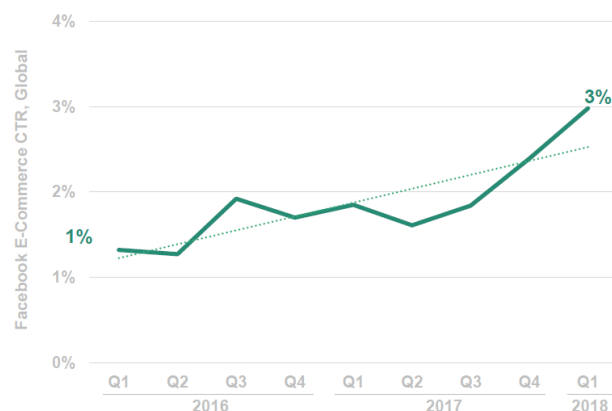
Across social media (and particularly FB), product discovery is also ramping up, with the share of e-commerce referrals rising by 3x since 2015, standing now at 6%, arguably accelerating growth, while click-through rates also appear to be inflecting upwards.

Figure 10. Social / Feed referrals to e-commerce sites



Source: Kleiner Perkins, Adobe Digital Insights, Evercore ISI Research

Figure 11. Facebook e-commerce Click-Through-Rates

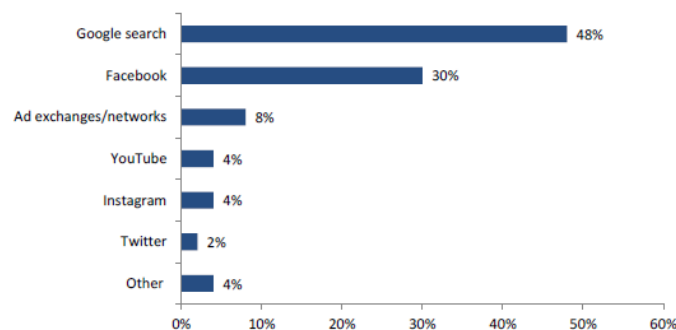


Source: Kleiner Perkins, Nanigans, Evercore ISI Research

If we drill down to traffic conversion rates (the percentage of acquired traffic that ultimately results in a sale) as well as marketers' view of platforms' ROI, it becomes clear that there remains a wide gap between the duopoly of Facebook and Google search as it relates to everyone else across traditional ad based platforms.

Figure 12. FB and GOOGL maintain a clear ROI advantage

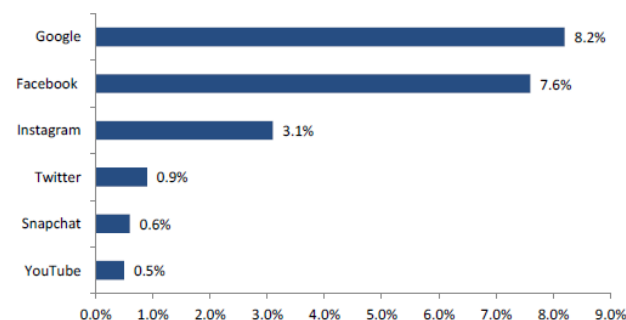
Highest ROI Across Platforms, Dec. 2017
(Survey of ad buyers, % of Respondents)



Source: eMarketer, Evercore ISI Research

Figure 13. . . . driven by far higher conversion rates

Conversion Rates by Platform, March 2018



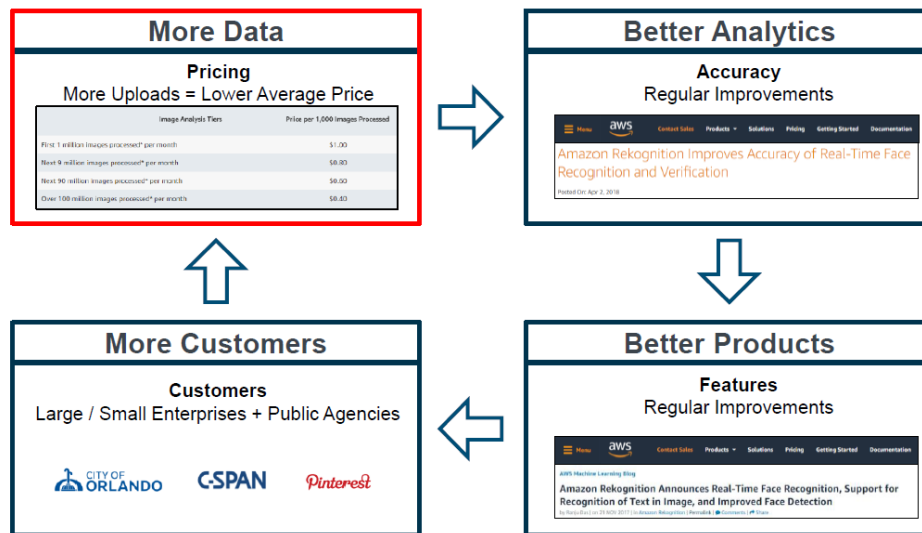
Source: Heap, Evercore ISI Research

We therefore conclude that Facebook and Google's ability to offer superior conversion and ultimately ROI over competitors, positions both favorably to capture incremental share of marketer's ad budgets. Perhaps just as important, these ROI advantages likely place Facebook and Google as key beneficiaries alongside Amazon as e-commerce growth continues to provide a tailwind to the digital ad market; we estimate online retailers spend ~2x that of brick and mortar merchants as a percentage of sales (18% vs 8%).

Flywheel in the cloud

While the cost benefits associated with scale within cloud computing are well documented, Ms. Meeker highlighted the increasingly powerful flywheel that could serve to concentrate market share across the leading providers. Here, increased scale facilitates lower pricing, which attracts more data, facilitating improved analytics, which in turn drives continued product enhancements, attracting even more customers (and therefore more data).

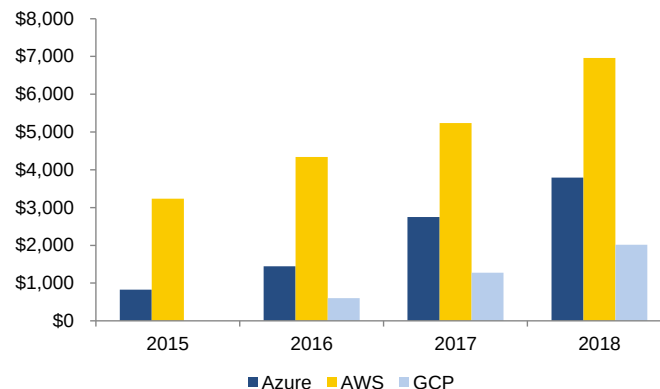
Figure 14. AWS Data Flywheel



Source: Kleiner Perkins, Company data, Evercore ISI Research

To that end, recent results actually point to increased market share concentration. Despite being the largest cloud service provider (roughly 3x the size of Azure), Amazon's AWS accelerated YoY revenue growth in the most recent quarter, while its competitors saw modest deceleration. Taking a look at the second derivative, we note that AWS's incremental revenue continues to grow in size, and based on recent traction, we (and Street models) anticipate acceleration in AWS YoY incremental revenue growth in 2018; the only company of the top 3 cloud providers for which estimates point to a reacceleration.

Figure 15. YoY incremental revenue (\$mn)



Source: Company data, Evercore ISI Research

With data demands and creation growing at a torrid pace and artificial intelligence increasing its share of enterprise spending, **we believe Amazon's AI platform emerging from AWS will continue to lead in terms of technological advances. Over time, we also believe AWS's scale advantages will ultimately lead to considerably lower unit costs, which likely power pricing advantages, while scaled data results in product innovations/enhancements.**

Figure 16. Evercore ISI Estimates vs. Consensus (\$mn, except for per share data)

Evercore ISI vs. Street		FB	GOOGL	NFLX	P	SNAP	TWTR	AMZN	EBAY	IAC	MTCH	YELP	ANGI
Sales	2018 Sales	56,620	108,463	16,087	1,521	1,186	2,905	237,195	10,970	4,109	1,687	961	1,122
	EVRISI	56,777	108,602	16,089	1,506	1,180	2,827	237,931	10,974	4,126	1,674	952	1,131
	Delta	157	139	2	(15)	(5)	(78)	736	4	17	(13)	(9)	9
	% Upside (Downside)	0.3%	0.1%	0.0%	(1.0%)	(0.5%)	(2.7%)	0.3%	0.0%	0.4%	(0.8%)	(1.0%)	0.8%
	2019 Sales	72,073	128,495	19,997	1,689	1,712	3,282	290,174	11,892	4,658	1,934	1,121	1,389
	EVRISI	72,923	129,158	19,670	1,557	1,532	3,075	297,293	11,746	4,741	1,959	1,097	1,414
	Delta	850	663	(327)	(132)	(180)	(207)	7,119	(146)	83	25	(23)	24
	% Upside (Downside)	1.2%	0.5%	(1.6%)	(7.8%)	(10.5%)	(6.3%)	2.5%	(1.2%)	1.8%	1.3%	(2.1%)	1.8%
Operating Income	2018 OI	25,793	32,990	1,779	-284	-1,511	336	8,180	2,387	585	536	19	73
	EVRISI	26,012	33,533	1,897	-235	-1,568	288	9,069	2,381	580	531	21	85
	Delta	219	543	118	49	(57)	(48)	889	(6)	(5)	(4)	1	12
	% Upside (Downside)	0.9%	1.6%	6.6%	(17.1%)	3.7%	(14.2%)	10.9%	(0.2%)	(0.8%)	(0.8%)	6.5%	15.9%
	2019 OI	31,865	39,015	2,874	-208	-1,319	446	13,266	2,570	825	637	55	185
	EVRISI	32,451	40,039	3,222	-126	-1,107	231	15,362	2,525	807	631	58	200
	Delta	586	1,025	348	82	212	(216)	2,095	(45)	(18)	(6)	3	15
	% Upside (Downside)	1.8%	2.6%	12.1%	(39.5%)	(16.1%)	(48.3%)	15.8%	(1.8%)	(2.2%)	(1.0%)	5.4%	8.2%
EBITDA	2018 EBITDA	34,889	50,608	2,105	-99	-718	1,114	29,732	3,725	963	641	185	267
	EVRISI	35,316	52,238	2,009	-68	-776	1,112	30,197	3,801	976	638	180	270
	Delta	428	1,631	(96)	31	(59)	(2)	465	76	13	(2)	(5)	3
	% Upside (Downside)	1.2%	3.2%	(4.6%)	(31.3%)	8.2%	(0.2%)	1.6%	2.0%	1.3%	(0.4%)	(2.6%)	1.2%
	2019 EBITDA	43,031	59,441	3,202	-17	-477	1,285	39,015	4,009	1,188	753	239	372
	EVRISI	44,868	59,759	3,353	14	-260	1,202	41,495	4,052	1,198	750	237	373
	Delta	1,837	318	151	31	217	(82)	2,480	43	9	(3)	(1)	1
	% Upside (Downside)	4.3%	0.5%	4.7%	(182.1%)	(45.6%)	(6.4%)	6.4%	1.1%	0.8%	(0.4%)	(0.6%)	0.3%
EPS	2018 EPS	\$7.61	\$44.03	\$2.86	-\$1.21	-\$1.14	\$0.31	\$12.43	\$1.70	\$4.07	\$1.28	\$0.24	\$0.10
	EVRISI	\$7.70	\$45.91	\$3.04	-\$0.99	-\$1.20	\$0.24	\$13.14	\$1.70	\$3.53	\$1.31	\$0.18	\$0.10
	Delta	0.09	1.88	0.18	0.23	(0.06)	(0.07)	0.71	0.00	(0.54)	0.04	(0.06)	0.00
	% Upside (Downside)	1.2%	4.3%	6.1%	(18.9%)	5.5%	(22.3%)	5.7%	0.3%	(13.2%)	3.0%	(25.9%)	3.7%
	2019 EPS	\$9.10	\$47.46	\$4.64	-\$0.89	-\$0.96	\$0.44	\$19.71	\$2.02	\$5.97	\$1.41	\$0.55	\$0.26
	EVRISI	\$9.39	\$49.23	\$5.21	-\$0.58	-\$0.82	\$0.16	\$22.43	\$1.93	\$4.82	\$1.46	\$0.55	\$0.29
	Delta	0.29	1.77	0.56	0.31	0.14	(0.28)	2.72	(0.09)	(1.15)	0.04	0.00	0.02
	% Upside (Downside)	3.2%	3.7%	12.1%	(35.2%)	(14.2%)	(62.9%)	13.8%	(4.5%)	(19.2%)	2.9%	0.1%	8.5%

Source: Company data, FactSet, Evercore ISI Research

Figure 17. Internet Comps (\$mn, except for per share data)

Company	Amazon	Facebook	Alphabet	Netflix	eBay	Spotify	Twitter	Snap	InterActive Corp	Match Group	ANGI Homeservice	Yelp	Pandora	Market Cap
Ticker	AMZN	FB	GOOGL	NFLX	EBAY	SPOT	TWTR	SNAP	IAC	MTCH	ANGI	YELP	P	Weighted Avg
Rating	Outperform	Outperform	Outperform	In Line	In Line	Outperform	In Line	Underperform	Outperform	In Line	In Line	In Line	In Line	
Target Price	\$1,900	\$215.00	\$1,300	\$265.00	\$44	\$190	\$32	\$9	\$172	\$38	\$13	\$46	\$7.00	
Price as of 06/01/18	\$1,641.54	\$193.99	\$1,135.00	\$359.93	\$38.34	\$159.24	\$36.65	\$11.63	\$158.50	\$42.58	\$15.27	\$43.11	\$7.45	
% upside (downside)	15.7%	10.8%	14.5%	(26.4%)	14.8%	19.3%	(12.7%)	(22.6%)	8.5%	(10.8%)	(14.9%)	6.7%	(6.0%)	
Diluted Shares (Current)	493	2,951	698	447	1,077	148	736	1,165	84	298	477	87	242	
Market Cap (Current)	809,279	572,513	792,319	160,819	41,273	20,240	26,958	13,548	13,381	12,676	7,284	3,758	1,805	
Firm Value (2017A)	803,036	530,802	694,417	157,935	44,325	16,731	24,349	11,505	17,239	13,656	7,337	2,937	1,694	
Revenue (Net)														
2018E	237,931	56,777	108,602	16,089	10,974	5,167 €	2,827	1,180	4,126	1,674	1,131	952	1,506	
2019E	297,293	72,923	129,158	19,670	11,746	6,332 €	3,075	1,532	4,741	1,959	1,414	1,097	1,557	
2018E Growth	33.8%	39.7%	21.8%	37.6%	14.7%	26.3%	15.7%	43.1%	24.8%	25.8%	53.6%	12.5%	(7.6%)	30.9%
2019E Growth	24.9%	28.4%	18.9%	22.3%	7.0%	22.5%	8.8%	29.8%	14.9%	17.0%	25.0%	15.2%	3.4%	23.1%
3-year CAGR ('17A - '20E)	26.6%	30.7%	18.4%	26.2%	10.4%	24.7%	10.6%	31.9%	17.1%	17.5%	32.9%	13.0%	2.8%	24.3%
EV / Revenue														
2018E	3.3x	9.1x	6.2x	9.9x	4.1x	3.2x	8.6x	9.9x	4.0x	7.9x	6.3x	3.0x	1.1x	5.7x
2019E	2.6x	6.8x	5.0x	8.3x	3.9x	2.6x	7.8x	7.9x	3.3x	6.5x	4.9x	2.4x	1.1x	4.5x
EBITDA (Incl. SBC)														
2018E	25,059	35,316	42,659	1,732	3,176	(221)	741	(1,427)	733	569	156	68	(100)	
2019E	35,341	44,868	49,039	2,983	3,388	(209)	738	(949)	970	671	286	113	(67)	
2018E Growth	60.8%	31.0%	29.0%	137.8%	8.0%	NM	72.6%	NM	136.1%	42.2%	NM	(69.1%)	NM	47.1%
2019E Growth	41.0%	27.0%	15.0%	72.2%	6.7%	NM	(0.4%)	NM	32.3%	18.1%	82.7%	65.4%	NM	29.9%
3-year CAGR ('17A - '20E)	44.9%	27.0%	20.0%	79.6%	8.6%	NM	27.6%	NM	54.1%	24.2%	NM	(14.6%)	NM	33.3%
EV/EBITDA (Incl. SBC)														
2018E	31.8x	14.7x	15.9x	92.0x	14.2x	NM	32.7x	NM	22.7x	23.3x	45.7x	41.6x	NM	24.0x
2019E	22.2x	11.0x	13.2x	54.4x	13.6x	NM	32.5x	NM	16.3x	18.9x	24.1x	23.7x	NM	17.1x
EBITDA Margin (Incl. SBC)														
2018E	10.5%	62.2%	39.3%	10.8%	28.9%	(4.3%)	26.2%	(120.9%)	17.8%	34.0%	13.8%	7.2%	(6.6%)	
2019E	11.9%	61.5%	38.0%	15.2%	28.8%	(3.3%)	24.0%	(61.9%)	20.5%	34.3%	20.2%	10.3%	(4.3%)	
GAAP EPS														
2018E	\$13.14	\$7.70	\$45.91	\$3.04	\$1.70	-2.36 €	(\$0.15)	(\$1.20)	\$3.53	\$1.31	\$0.10	\$0.18	(\$0.99)	
2019E	\$22.43	\$9.39	\$49.23	\$5.21	\$1.93	-1.58 €	\$0.24	(\$0.82)	\$4.82	\$1.46	\$0.29	\$0.55	(\$0.58)	
2018E Growth	113.6%	42.6%	26.9%	143.2%	NM	NM	NM	NM	12.1%	10.9%	NM	(89.9%)	NM	64.9%
2019E Growth	70.7%	22.0%	7.2%	71.3%	13.5%	NM	NM	NM	36.6%	10.7%	NM	209.6%	NM	35.9%
3-year CAGR ('17A - '20E)	77.5%	28.9%	16.7%	79.2%	12.2%	NM	NM	NM	22.4%	11.7%	NM	(25.6%)	NM	42.9%
GAAP P/E														
2018E	124.9x	25.2x	24.7x	118.4x	22.5x	NM	NM	NM	44.9x	32.4x	153.6x	243.2x	NM	59.2x
2019E	73.2x	20.7x	23.1x	69.1x	19.9x	NM	150.5x	NM	32.9x	29.3x	53.4x	78.5x	NM	40.0x
FCF														
2018E	13,958	15,998	25,598	(3,032)	2,234	260	135	(268)	739	507	179	140	14	
2019E	22,590	24,172	35,962	(3,200)	2,835	238	209	(332)	833	533	268	205	(73)	
FCF Per Share														
2018E	\$27.86	\$5.39	\$36.18	(\$6.73)	\$2.21	1.54 €	\$0.17	(\$0.21)	\$8.84	\$1.66	\$0.37	\$1.51	\$0.06	
2019E	\$44.42	\$8.07	\$50.18	(\$7.08)	\$2.97	1.38 €	\$0.26	(\$0.25)	\$9.79	\$1.68	\$0.56	\$2.19	(\$0.28)	
P/FCF														
2018E	58.9x	36.0x	31.4x	NM	16.9x	80.1x	210.4x	NM	22.6x	25.6x	40.9x	28.5x	134.7x	38.3x
2019E	37.0x	24.1x	22.6x	NM	12.5x	89.2x	140.2x	NM	20.4x	25.3x	27.4x	19.7x	NM	25.7x

Source: Company data, FactSet, Evercore ISI Research

Figure 18. Stock Performance – Weekly, Monthly, and YTD

Company	Ticker	Rating	Price on 6/1/2018	Week Return	Month Return	QTD Return	YTD Return
Facebook	FB	Outperform	\$193.99	4.9%	11.6%	21.4%	9.9%
Alphabet	GOOGL	Outperform	1,135.00	4.7%	9.1%	9.4%	7.7%
Netflix	NFLX	In Line	359.93	2.5%	14.9%	21.9%	87.5%
Pandora	P	In Line	7.45	6.3%	34.2%	48.1%	54.6%
Snap	SNAP	Underperform	11.63	8.6%	-17.7%	-26.7%	-20.4%
Twitter	TWTR	In Line	36.65	9.0%	21.0%	26.3%	52.6%
Amazon	AMZN	Outperform	1,641.54	1.9%	3.7%	13.4%	40.4%
eBay	EBAY	In Line	38.34	1.1%	1.3%	-4.7%	1.6%
InterActive Corp	IAC	Outperform	158.50	3.7%	18.9%	1.4%	29.6%
Match Group	MTCH	In Line	42.58	1.8%	16.0%	-4.2%	36.0%
Yelp	YELP	In Line	43.11	1.2%	-3.1%	3.3%	2.7%
ANGI Homeservices	ANGI	In Line	15.27	1.1%	15.0%	12.4%	46.0%
Indices							
PowerShares NASDAQ Internet Portfolio	PNQI		\$137.47	2.7%	6.1%	7.5%	18.8%
S&P 500	SP50		2,734.62	0.5%	3.0%	3.5%	2.3%
NASDAQ-100 Index	NDX		7,083.93	1.8%	6.0%	7.6%	10.7%
DJ Industrial Average	DJII		24,415.84	-1.4%	1.3%	1.3%	-1.2%

Source: FactSet, Evercore ISI Research

Figure 19. Monthly Short Interest

Company	Ticker	Rating	Market Cap (\$mn)	Short Interest (mn)	Short Interest % of Float	Short Interest Ratio	Short Interest Prior Month (mn)	MoM Change in Short Interest
Facebook	FB	Outperform	\$572,513	29.2	1.2%	1.4	28.0	1.1
Alphabet	GOOGL	Outperform	792,319	3.3	1.1%	1.8	2.9	0.5
Netflix	NFLX	In Line	160,819	20.1	4.7%	3.5	18.9	1.1
Pandora	P	In Line	1,805	61.7	25.0%	4.6	71.5	(9.8)
Snap	SNAP	Underperform	13,548	108.8	25.1%	2.5	92.6	16.2
Twitter	TWTR	In Line	26,958	31.1	4.6%	1.5	33.2	(2.0)
Amazon	AMZN	Outperform	809,279	5.3	1.3%	1.5	5.5	(0.2)
eBay	EBAY	In Line	41,273	29.6	3.2%	3.7	32.6	(3.0)
InterActive Corp	IAC	Outperform	13,381	1.9	2.5%	0.9	1.6	0.3
Match Group	MTCH	In Line	12,676	25.8	53.9%	3.3	26.9	(1.1)
Yelp	YELP	In Line	3,758	6.5	8.5%	2.6	6.5	(0.0)
ANGI Homeservices	ANGI	In Line	7,284	20.9	41.2%	22.5	20.3	0.6

Source: FactSet, Evercore ISI Research

TIMESTAMP**(Article 3(1)e and Article 7 of MAR)**

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Sell	36	5%	Sell	1	3%
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Rating Suspended	4	1%	Rating Suspended	0	0%

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